TeamSystem €700m 6.50% Senior Secured Notes due 2032

As of 23 June 2026 (pricing) · Italian accounting, tax, payroll and ERP software · B2 / B / B · Sponsor: Hellman & Friedman

APPROVE Support 6.50–6.75%; final 6.50%. Comps put fair value at 7.00% (429bp), so the notes priced about 50bp tight, which a credit with 90% recurring, compliance-driven revenue can carry. Leverage is 4.70x as marketed but 7.21x on statutory EBITDA once the HoldCo PIK and earn-outs are counted, so the cushion rests on growth, not debt paydown.

KEY TERMS

Issuer, ranking	TeamSystem S.p.A.; senior secured, behind the €409.5m super senior RCF
Notes	€700m 6.50% fixed, semi-annual, issued at 100; due 1 July 2032 (6NC2)
Calls	Make-whole (T+50) to July 2028, then 103.25; par from July 2029; 10% a year at 103 before then
Use of proceeds	Redeem €300m 3½% SSN 2028, repay the RCF, prefund ~€178m of 2026 earn-outs
Execution	IPT 6.75–7.00%, talk 6.50–6.75%, final 6.50% (+381bp vs DBR as reported)
Owners	H&F 69% (since 2021); Silver Lake 12.3%, ADIA 9.8%, CapitalG 2.8%

FAIR VALUE: SPREAD OVER THE BUND ZERO CURVE AT TENOR

Lens	Spread	Yield	Weight
Same-day anchor: Nouryon, +1 notch, +1 year, +5bp for calls	404bp	6.75%	40%
Single-B peers, median after rating and tenor adjustment	444bp	7.15%	25%
Rating regression across nine comps (R^2 0.71)	449bp	7.20%	15%
Software and IT peers, median after adjustment	447bp	7.18%	20%
Weighted fair value	**429bp**	**7.00%**	
Priced	379bp	6.50%	−50bp

Nine EUR secured new issues, moved to 23 June 2026 with the Euro HY OAS, then adjusted to TeamSystem's rating (43bp a notch) and tenor (8bp a year). Against its own 2025 deal the notes priced 156bp wider after market moves; fundamentals and terms explain −13bp, so +169bp is repricing of the issuer and of software credit.

RECOVERY AND EQUITY CUSHION

Severe-case default	EBITDA €299m × 7.5x, less 5% costs: €2,133m for creditors. The €421m RCF claim is covered; the notes recover **53%** (40% at 6x, 75% at 10x); the HoldCo PIK recovers nothing.

Going-concern multiple (statutory EBITDA €527m)	10x	12x	15x	18x
Analyst-adjusted debt / EV	72%	60%	48%	40%
Sponsor equity cushion / EV	28%	40%	52%	60%

For a NAV lender this is the collateral: a fall from 15x to 10x takes equity value from about €4.1bn to €1.5bn, a 64% drop.

PRO FORMA CAPITAL STRUCTURE, 30 JUNE 2026 (€M)

Instrument	Maturity	€m	x PF €604m	x Stat. €527m
Super senior RCF (€409.5m, undrawn)	Jan 2031	0		
SS FRN 2031 (E + 3.50%)	Jul 2031	700		
5.00% SSN 2031	Jul 2031	500		
SS FRN 2032 (E + 3.25%)	Jul 2032	1,250		
6.50% SSN 2032 (new)	Jul 2032	700		
Senior secured notes		**3,150**	**5.22x**	**5.97x**
Leases, accrued interest, deferred M&A, other, less €425m cash		(309)		
Net debt, company definition		**2,841**	**4.70x**	**5.39x**
HoldCo 3 PIK toggle notes, incl. accrued	Jul 2033	670		
Earn-out and put-option liabilities		293		
Analyst-adjusted net debt		**3,804**	**6.30x**	**7.21x**

Liquidity €834m (cash €425m + undrawn RCF). At pricing, the Q1 2026 report (1 May 2026, LTM March) gives 4.67x marketed, 5.67x statutory, 7.59x adjusted: the same conclusion without the later H1 data, which stands in for the offering memorandum.

OPERATING CASES, H2 2026–2030

	Base	Sponsor	Downside	Severe
Trough EBITDA (LTM €527m)	€620m	€665m	€419m	€299m
Peak adjusted leverage	6.7x	6.7x	9.1x	13.6x
Lowest EBITDA / cash interest	3.2x	3.3x	2.3x	1.6x
Lowest liquidity	€682m	€371m	€633m	€435m
Refinancing test, Dec 2030	Refinanceable	Refinanceable	At risk	Distressed-exchange risk

Base assumes no further M&A; Downside and Severe are AI-disruption cases. FCF after PIK cash interest turns negative at EBITDA −12%; interest cover reaches 1.5x only at −47%.

KEY JUDGEMENTS

- **Underwrite on statutory EBITDA.** Addbacks are 13–18% of PF EBITDA (€33.9m forward ARR, €26.8m unrealised savings, €15.6m M&A).
- **Cash covers interest, not deleveraging.** LTM free cash flow €122m against €566m of M&A and earn-outs; the €650m HoldCo PIK costs ~€52m a year if paid in cash.
- **Rates are hedged to January 2030.** €1,733m of swaps fix 89% of the FRNs, so +100bp costs ~€2m, not ~€20m.
- **Liquidity survives every case; leverage does not.** The risk is refinancing €3.15bn in 2031–32.

Sources. TeamSystem Holdco FY2025 financial statements; Q1 2026 report (1 May 2026); H1 2026 interim financial statements and investor presentation (25 July 2026, published after pricing and used as a proxy for offering-memorandum data); company pricing releases; new-issue terms and pricing (CreditFlow Research); Euro HY OAS (ICE BofA via FRED); Bundesbank zero-coupon curve. Analyst assumptions (recovery multiple, swap and PIK margins, scenario drivers) are flagged in the model.

Disclosure. Independent analysis of public information, written after the notes priced. Not commissioned, reviewed or endorsed by TeamSystem, Hellman & Friedman or any bookrunner. Not investment advice. Full memo (7 pages plus appendix) and Excel model available on request.

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